

Term Loan Agreement (India)

THIS TERM LOAN AGREEMENT (“**Agreement**”) is made and entered into at Mumbai this 21st day of January 2025, (“**Effective Date**”) by and between:

XYZ Bank Ltd., a company incorporated under the Companies Act, 2013, having its registered office at SDV Complex, Vikasnagar, Shimla, H.P. (171002) hereinafter referred to as the "Lender", which expression shall unless repugnant to the context or meaning thereof be deemed to include its successors and assigns,

ABC Textiles Pvt. Ltd., a company incorporated under the Companies Act, 2013, having its registered office at Industrial Area, Baddi, Solan, H.P. (171001) hereinafter referred to as the "Borrower", which expression shall unless repugnant to the context or meaning thereof be deemed to include its successors and permitted assigns.

WHEREAS:

1. The Borrower is engaged in the business of textile manufacturing and seeks to expand its production capacity to meet growing market demand and enhance operational efficiency.
2. To achieve the said expansion, the Borrower requires financial assistance for the procurement and installation of advanced textile manufacturing machinery.
3. The Borrower has approached the Lender for a term loan of ₹2,50,00,000 (Rupees Two Crore Fifty Lakhs Only) to finance the purchase of the necessary machinery, which will enable it to enhance productivity and cater to increased consumer demand.
4. The Lender, being a reputed financial institution with expertise in corporate financing, has assessed the Borrower's request and financial standing and has agreed to provide the requested loan, subject to the terms and conditions set forth in this Agreement.
5. The Borrower has agreed to secure the Loan by: a. Hypothecating the machinery purchased from the Loan amount; and b. Providing a personal guarantee from its directors as additional security.

6. The Parties acknowledge that this Loan shall be utilized strictly for the purpose stated herein and in compliance with the applicable laws and regulations governing such financial transactions.
7. The Parties desire to define their respective rights, obligations, and responsibilities with respect to the Loan in this Agreement to ensure clarity and mutual understanding.

NOW, THEREFORE, in consideration of the mutual covenants and agreements set forth herein, the Parties hereto agree as follows:

1. Definitions and Interpretation:

1.1 In this Agreement, the following meanings are applicable:

(a) “**Agreement**” means this Loan Agreement for grant of the loan read in conjunction with the Term Loan Agreement Version.4: 2024 sanction letter more particularly detailed in the Schedule.

(b) “**Loan**” means the loans with the limit(s) more particularly described in the Schedule granted by the Lender in terms of this Agreement and shall include all the dues payable by the Borrower to the Lender under this Agreement.

(c) “**Interest Rate**” means the rate at which the Lender shall compute and apply interest on the Loan, as stated in the Schedule or as may be amended from time to time by the Lender.

(d) “**Default Interest Rate**” means the rate at which the Lender shall compute and apply interest on all amounts not paid when due for payment (or reimbursement) by the Borrower to the Lender, as stated in the Schedule or as may be amended from time to time by the Lender.

(e) “**Event(s) of Default**” means any of the events or circumstances specified in Clause 7 of this Agreement.

(f) “**Parties**” means the Lender and the Borrower referred to collectively.

(g) “**Disbursement**” means the release of the Loan amount by the Lender to the Borrower or to third parties on behalf of the Borrower in accordance with the terms of this Agreement.

(h) “**Repayment Schedule**” means the schedule specifying the amount and due dates of repayment of the Loan, as detailed in Schedule B.

(i) “**Hypothecated Assets**” means the machinery or other assets described in Schedule A, which are provided as security for the Loan.

(j) “**Personal Guarantee**” means the guarantee provided by the directors of the Borrower as detailed in Schedule C, to secure the obligations of the Borrower under this Agreement.

(k) “**Force Majeure Event**” means any event or circumstance beyond the reasonable control of the affected Party, including acts of God, war, government actions, natural disasters, strikes, or pandemics.

(l) “**Sanction Letter**” means the letter issued by the Lender to the Borrower specifying the terms and conditions of the Loan, as referenced in Schedule D.

(m) “**Schedule**” means the annexures attached to this Agreement, which form an integral part hereof.

1.2 In this Agreement unless the context otherwise requires:

(a) Singular shall include plural and the masculine gender shall include the feminine and neutral gender.

(b) The expressions “Borrower(s)” and the “Bank”, unless repugnant to the context, shall include their respective legal heirs, representatives, successors, executors, administrators and assigns, and, the word ‘Borrower’ shall also mean the ‘Guarantor’.

(c) All or any other conditions as specified in the sanction letter shall form an integral part of this Agreement and the sanction letter shall always be read in conjunction with this Agreement at all times.

2. LOAN AMOUNT AND PURPOSE

2.1 The Lender agrees to sanction a Term Loan of ₹2,50,00,000 (Rupees Two Crore Fifty Lakhs Only) to the Borrower, which shall be exclusively utilized for the purchase of manufacturing machinery as specified in Schedule A. The Borrower unequivocally undertakes that the Loan amount shall not be used for any purpose other than the stated objective under this Agreement.

2.2 The Borrower acknowledges and agrees that the machinery to be procured under this Loan is integral to its business expansion and shall play a critical role in enhancing its manufacturing capabilities. The Borrower further undertakes that the Lender shall have the right to disburse the Loan amount directly to the supplier, M/s Machinery Suppliers Pvt. Ltd., upon verification of invoices and compliance with the conditions precedent outlined in Schedule D.

2.3 The Borrower shall furnish all necessary documentation, including purchase orders, invoices, and any other relevant documents as may be required by the Lender, to ensure proper utilization of the Loan amount. The Borrower shall not divert, miss utilize, or apply the Loan proceeds for any other purpose apart from acquiring the specified machinery.

2.4 In the event of any deviation from the agreed utilization, including but not limited to misapplication of funds or non-compliance with the conditions set forth herein, the Lender shall have the unequivocal right to recall the Loan with immediate effect, along with all outstanding dues, and enforce any security provided under this Agreement.

2.5 The Borrower acknowledges that the machinery purchased from the Loan amount shall remain hypothecated to the Lender as primary security for the repayment of the Loan and all related dues, as set forth in Clause 5 and detailed in Schedule A. The Borrower undertakes to ensure that the machinery remains unencumbered, operational, and free from any third-party claims or liabilities during the entire tenure of the Loan. Further, the Borrower shall comply with all conditions imposed by the Lender to safeguard the security interest in the hypothecated machinery, including but not limited to periodic inspections and submission of maintenance reports as required by the Lender.

3. Interest Rate

3.1 Fixed Interest Rate and Computation

The Loan shall carry a fixed interest rate of 10.5% per annum, calculated on a reducing balance basis. The Borrower acknowledges that the interest obligations under this Agreement form an integral part of the repayment liabilities, and adherence to the repayment schedule is essential to avoid default.

3.2 Accrual and Payment of Interest

- (a) Interest shall accrue from the date of disbursement of the Loan and shall be calculated on the daily outstanding principal balance.
- (b) The Interest Rate shall remain fixed for the entire tenure of the Loan, unless a modification is mutually agreed upon in writing by both Parties.
- (c) Interest shall be payable on a monthly basis, along with the principal instalment, as per the Repayment Schedule provided in Schedule B.
- (d) If any instalments (whether principal or interest) is not paid on its due date, such overdue amounts shall attract an additional Default Interest Rate as specified in Clause 1.1(d) of this Agreement.

3.3 Method of Interest Calculation

- (a) The computation of interest shall be made on the basis of a 365-day year and the actual number of days elapsed in the relevant period.
- (b) The Borrower may, upon written request, obtain from the Lender a statement of the outstanding principal, interest accrued, and any applicable charges at any time during the Loan tenure, subject to the Lender's approval.

3.4 Consequences of Non-Payment of Interest

- (a) The Borrower expressly acknowledges and agrees that any failure to make timely payments towards interest shall constitute a breach of this Agreement and may lead to enforcement of security and legal remedies available to the Lender.
- (b) The interest obligations shall be deemed independent and non-deferrable, and no waiver, concession, or restructuring of interest payments shall be assumed unless expressly granted in writing by the Lender.

4. Tenure and Repayment

4.1 Loan Tenure and Commencement

The Loan tenure shall be sixty (60) months (five years), commencing from the date of Disbursement. The Borrower acknowledges and undertakes to full fill all repayment obligations as per the terms of this Agreement.

4.2 Moratorium Period and Interest Accrual

- (a) The Borrower shall be entitled to a moratorium period of six (6) months from the date of Disbursement, during which no EMI payments shall be required.
- (b) During the moratorium period, interest shall continue to accrue on the outstanding principal amount and shall be capitalized at the end of the moratorium period, unless otherwise agreed in writing between the Parties.

4.3 Repayment Schedule and EMI Structure

- (a) Upon the expiry of the moratorium period, the Borrower shall repay the Loan in sixty (60) equal monthly instalments ("EMIs") of ₹4,81,137 per month, in accordance with the Repayment Schedule detailed in Schedule B.
- (b) Each EMI shall consist of both principal and interest components, computed on a reducing balance basis.
- (c) The due date for each EMI payment shall be as specified in Schedule B, and the Borrower undertakes to ensure timely payment without any delay.

4.4 Mode of Repayment

- (a) The Borrower shall make EMI payments through electronic transfer to the designated account of the Lender or via any other mode as instructed by the Lender.
- (b) The Borrower shall ensure the availability of sufficient funds in their account to meet EMI obligations on the due dates, and non-payment due to banking issues or insufficiency of funds shall not be a valid defence for default.

4.5 Prepayment and Recalibration of Repayment Schedule

- (a) The Borrower shall have the option to prepay the Loan, in part or full, subject to the terms specified in Clause 6 of this Agreement.
- (b) Any prepayment shall result in recalibration of the Repayment Schedule, and the revised schedule shall be duly communicated to the Borrower.

4.6 Default in Repayment and Consequences

- (a) In the event of non-payment of an EMI on the due date, the overdue amount shall attract an additional interest at the Default Interest Rate, as specified in Clause 1.1(d) of this Agreement, until such time the payment is made.
- (b) Repeated defaults in repayment may lead to:
- Enforcement of security, including hypothecated assets;
 - Acceleration of outstanding dues, making the entire Loan amount immediately payable; and
 - Initiation of legal proceedings, including recovery actions at the Lender's discretion.

4.7 Borrower's Acknowledgment

The Borrower expressly acknowledges that timely repayment is essential to avoid default-related consequences. Any default, delay, or failure to meet repayment obligations may result in the invocation of remedies and enforcement actions as per this Agreement and applicable law.

5. Security

5.1 Hypothecation of Assets as Primary Security

(a) The Borrower agrees that the Loan shall be secured by the Hypothecated Assets described in Schedule A, which include the machinery purchased with the Loan proceeds. These Hypothecated Assets shall serve as the primary security for the Loan.

(b) The Borrower undertakes to:

- (i) Maintain the Hypothecated Assets in good working condition at all times, ensuring their operational integrity and value.
- (ii) Keep the Hypothecated Assets free from any encumbrance, lien, or charge, except for the security interest expressly created in favour of the Lender under this Agreement.
- (iii) Provide periodic reports and documentation to the Lender regarding the condition, location, and status of the Hypothecated Assets, as and when reasonably requested.

5.2 Personal Guarantee as Collateral Security

(a) As additional security for the due repayment of the Loan, the Borrower shall provide a Personal Guarantee from its directors, Mr. ABC and Ms. LMNOP, as detailed in Schedule C.

(b) The Personal Guarantee shall:

- (i) Serve as an additional assurance for the due repayment of the Loan, including interest, charges, and other obligations under this Agreement.
- (ii) Be enforceable upon any default by the Borrower, without the requirement of prior exhaustion of remedies against the Borrower.
- (iii) Remain in full force and effect until all amounts due under this Agreement, including the principal, interest, fees, and other charges, are paid in full.

5.3 Right of Inspection and Compliance Verification

(a) The Lender shall have the right to inspect the Hypothecated Assets at any reasonable time, subject to prior notice to the Borrower. The Borrower shall provide full cooperation to facilitate such inspections.

(b) The Lender may conduct compliance verifications to ensure that the Borrower adheres to the obligations under this Agreement, including maintenance and security of the Hypothecated Assets.

5.4 Insurance and Risk Mitigation

(a) The Borrower shall ensure that the Hypothecated Assets are adequately insured against all risks, including but not limited to theft, fire, accidental damage, and destruction.

(b) The insurance policy shall:

(i) Name the Lender as the sole beneficiary or loss payee, ensuring that any insurance proceeds are applied toward the repayment of the Loan in case of asset loss or damage.

(ii) Remain in effect for the entire tenure of the Loan, with no lapse in coverage.

(iii) Be renewed timely, and copies of the insurance policy and renewal confirmations shall be submitted to the Lender.

5.5 Consequences of Breach and Enforcement Rights

(a) The Borrower acknowledges that any breach of this Security Clause shall constitute an Event of Default, entitling the Lender to take remedial actions under this Agreement and applicable laws.

(b) Upon the occurrence of an Event of Default, the Lender shall have the right to:

(i) Enforce the security interest in the Hypothecated Assets, including seizure, sale, or disposal, in accordance with the applicable legal provisions.

(ii) Invoke the Personal Guarantee and proceed against the guarantors for full recovery of outstanding dues.

(iii) Accelerate repayment obligations, making all outstanding amounts immediately due and payable.

(c) The Borrower further agrees that any enforcement action taken by the Lender under this Clause shall not affect the Lender's rights to recover any remaining dues through other legal means.

Lawyers in Making.

6. Disbursement of Loan

(a) Direct Payment to Supplier: The Loan amount shall be disbursed directly to M/s Machinery Suppliers Pvt. Ltd. upon verification of invoices and compliance with the conditions precedent outlined in Schedule D. Under no circumstances shall the disbursed amount be credited to the Borrower's account unless specifically agreed in writing by the Lender.

(b) Verification and Compliance: The Borrower shall submit all necessary documentation, including supplier invoices, purchase orders, and any additional supporting documents as required by the Lender. The Lender shall have the sole discretion to review and approve the submitted documents and may reject any invoice that does not comply with the terms of this Agreement.

(c) Partial Disbursement: If the delivery of machinery is scheduled in phases, the Loan amount may be disbursed in instalments, subject to the Borrower providing progress updates and necessary documentation for each stage. The Lender shall have the right to withhold any subsequent disbursement if the Borrower fails to meet compliance requirements.

(d) Right to Inspect: The Lender reserves the right to inspect the supplier's facilities and verify the production, delivery, or installation of the machinery before or after disbursement. The Borrower shall facilitate such inspections and provide any necessary cooperation.

(e) Indemnification and Compliance: The Borrower shall indemnify and hold the Lender harmless from any claims, disputes, or liabilities arising between the Borrower and the supplier concerning the purchase, quality, or delivery of the machinery. Any modification or cancellation of the purchase order shall require prior written approval from the Lender.

Lawyers in Making.

7. Prepayment

7.1 Prepayment Right

The Borrower shall have the right to prepay the outstanding Loan, either in part or in full, subject to the terms and conditions set forth in this Clause.

7.2 Prepayment Notice

The Borrower shall provide the Lender with a prior written notice of at least fifteen (15) business days specifying the amount to be prepaid and the proposed date of prepayment. The Lender shall acknowledge receipt of such notice in writing.

7.3 Prepayment Charges

- (a) In the event of prepayment, a prepayment penalty of two percent (2%) of the principal amount being prepaid shall be payable by the Borrower to the Lender.
- (b) The Borrower expressly acknowledges and agrees that such prepayment penalty is reasonable and forms an integral part of the financial structuring of the Loan.

7.4 Revised Repayment Schedule

- (a) Any partial prepayment shall result in a revision of the Repayment Schedule, as set forth in Schedule B, which shall be communicated to the Borrower by the Lender.
- (b) The revised schedule shall reflect the impact of prepayment on the outstanding Loan amount, tenure, and instalment obligations.

7.5 Restrictions on Prepayment

- (a) No prepayment shall be permitted during the moratorium period, unless expressly approved in writing by the Lender.
- (b) The Lender reserves the right to decline a prepayment request if such prepayment results in a breach of any financial covenant or disrupts the agreed structuring of the Loan.

7.6 Application of Prepaid Amount

Any prepayment amount shall be applied in the following order:

- (a) First, towards overdue interest, fees, penalties, and other outstanding charges, if any;
- (b) Thereafter, towards the principal outstanding amount of the Loan.

7.7 Continuing Obligations

Prepayment of the Loan shall not relieve the Borrower from its obligations under this Agreement, including but not limited to compliance with representations, warranties, and covenants that survive repayment.

8. Default and Consequences

8.1 Events of Default

The following events shall constitute an Event of Default under this Agreement:

(a) Non-Payment of Dues: Failure by the Borrower to make any payment, including but not limited to Equated Monthly Instalments (EMIs), interest, fees, charges, or any other sums due under this Agreement, on or before the due date.

(b) Misutilization of Loan Proceeds: Use of the Loan amount for any purpose other than those expressly agreed upon in this Agreement.

(c) Insolvency or Bankruptcy: Initiation of insolvency, bankruptcy, liquidation, or winding-up proceedings against the Borrower, or the Borrower admitting an inability to pay debts as they fall due.

(d) Breach of Contractual Obligations: Violation of any term, covenant, representation, or warranty under this Agreement or failure to perform any obligation required herein.

(e) Failure to Maintain Security:

- (i) Failure to maintain the Hypothecated Assets in good and marketable condition.
- (ii) Damage, loss, or disposal of such assets without the prior written consent of the Lender.
- (iii) Failure to create, perfect, or maintain any security as required under this Agreement.

(f) Regulatory Non-Compliance: Violation of any statutory, regulatory, or governmental requirements affecting the Borrower's ability to perform its obligations under this Agreement.

(g) Material Adverse Change: Any significant change in the Borrower's financial position, business operations, or legal status that, in the Lender's opinion, adversely affects the Borrower's ability to meet its repayment obligations.

8.2 Consequences of Default

Upon the occurrence of any Event of Default, the Lender shall have the right to take one or more of the following actions at its sole discretion, without prejudice to its other legal remedies:

(a) Acceleration of Loan: Declare the entire outstanding Loan amount, including principal, accrued interest, penalties, and other charges, to be immediately due and payable.

(b) Enforcement of Security: Enforce its security interest over the Hypothecated Assets in accordance with the provisions of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act, 2002), and other applicable laws, without requiring prior judicial intervention.

(c) Legal and Recovery Proceedings: Initiate appropriate legal action, including but not limited to civil suits, arbitration, or insolvency proceedings, for the recovery of outstanding dues.

(d) Suspension of Further Disbursements: Cease or withhold any undisbursed portion of the Loan and terminate this Agreement.

(e) Invocation of Guarantees: Invoke any personal guarantees, corporate guarantees, or other security provided by the Borrower or third-party guarantors to recover the outstanding amount.

8.3 Costs and Expenses

The Borrower shall be liable for all reasonable costs, charges, and expenses incurred by the Lender in connection with the enforcement of its rights under this Agreement, including but not limited to legal fees, court costs, valuation charges, and incidental recovery expenses.

8.4 Cure Period and Notice

The Lender, at its sole discretion, may provide the Borrower with a written notice specifying the default and granting a cure period of fifteen (15) days to remedy the default. If the Borrower fails to cure the default within the specified period, the Lender shall be entitled to initiate enforcement actions without any further notice or obligation.

8.5 Consequences of Default on Credit Profile

The Borrower acknowledges that any Event of Default may result in:

(a) **Negative Credit Reporting:** Adverse reporting to credit information agencies such as CIBIL, impacting the Borrower's creditworthiness.

(b) **Additional Financial Liabilities:** Imposition of penalties, late fees, and interest on overdue amounts.

(c) **Legal Consequences:** Attachment or seizure of assets, including but not limited to those hypothecated or pledged as collateral.

9. Force Majeure

9.1 Definition: Neither Party shall be liable for any failure or delay in performing its obligations under this Agreement if such failure or delay is caused by an event beyond its reasonable control (“Force Majeure Event”). Force Majeure Events shall include, but are not limited to:

- (a) Acts of God, including earthquakes, floods, storms, or other natural disasters;
- (b) Acts of war, hostilities, terrorism, civil unrest, riots, or other violent disturbances;
- (c) Governmental actions, orders, or restrictions, including changes in laws, regulations, or the imposition of embargoes;
- (d) Strikes, lockouts, or other industrial disputes not attributable to the affected Party;
- (e) Pandemics, epidemics, or other public health emergencies declared by the relevant authorities.

9.2 Consequences of Force Majeure:

- (a) The affected Party shall notify the other Party in writing within five (5) business days of becoming aware of the Force Majeure Event, specifying the nature, extent, and anticipated impact of the event.
- (b) The affected Party’s obligations shall be suspended for the duration of the Force Majeure Event to the extent such obligations are affected.
- (c) The affected Party shall take all reasonable steps to mitigate the impact of the Force Majeure Event and resume performance of its obligations as soon as reasonably practicable.

9.3 Termination Due to Prolonged Force Majeure: If a Force Majeure Event continues for a period exceeding ninety (90) days, either Party may terminate this Agreement by providing fifteen (15) days’ prior written notice to the other Party. Termination under this clause shall not relieve the Borrower of its obligation to repay any amounts disbursed under this Agreement, including accrued interest and penalties.

9.4 Exclusions: The Borrower’s payment obligations under this Agreement shall not be excused under this Force Majeure clause unless the Force Majeure Event directly impacts the financial or banking systems, making such payments objectively impossible.

10. Representations and Warranties

The Borrower hereby represents and warrants to the Lender that, as of the date of this Agreement and throughout the term of the Loan, the following statements are true, correct, and shall remain in full force and effect:

10.1 Legal Capacity and Authority: The Borrower has full legal capacity, power, and authority to enter into, execute, deliver, and perform its obligations under this Agreement. It has obtained all necessary corporate authorizations, approvals, and consents, including those from its board of directors and shareholders, where applicable. The execution and performance of this Agreement do not and will not violate any applicable law, contract, or regulation binding upon the Borrower.

10.2 Purpose and Utilization of Loan Proceeds: The Borrower warrants that the Loan proceeds shall be used exclusively for the purpose of purchasing machinery as specified in **Schedule A** and shall not be diverted for any unauthorized or unlawful purposes.

10.3 Compliance with Applicable Laws: The Borrower is in full compliance with all applicable laws, rules, and regulations, including but not limited to:

- (a) The Reserve Bank of India (RBI) regulations governing borrowing, lending, and financial transactions;
- (b) The Companies Act, 2013, as applicable to its corporate structure and governance;
- (c) Relevant environmental, labor, and tax laws necessary for its business operations.

10.4 Absence of Legal Proceedings: There are no pending, ongoing, or threatened legal, arbitration, or administrative proceedings, claims, or disputes that could have a material adverse effect on the Borrower's financial condition, business operations, or its ability to full fill obligations under this Agreement.

10.5 Ownership and Encumbrances: The Borrower has clear, legal, and marketable title to all assets hypothecated or pledged as security for the Loan, free from any liens, charges, or encumbrances, except those expressly disclosed in writing to the Lender.

10.6 Financial Disclosure and Accuracy of Information: The Borrower has provided the Lender with all material information concerning its financial condition, business operations, and prospects, and warrants that such information is true, complete, and accurate in all respects. There has been no material adverse change in its financial position since the date of the last disclosure.

10.7 Insurance Coverage: The Borrower shall maintain adequate insurance coverage on the hypothecated assets, with the Lender named as the beneficiary/loss payee, ensuring protection against risks including but not limited to damage, theft, or loss.

10.8 No Default or Breach: The Borrower is not in default of any agreement, obligation, or legal requirement that may affect its ability to perform under this Agreement. Further, the execution, delivery, and performance of this Agreement shall not constitute a breach of any contract, order, decree, or obligation binding upon the Borrower.

The Borrower acknowledges that these representations and warranties are a material inducement for the Lender to extend credit under this Agreement. Any breach of the foregoing representations and warranties shall constitute an Event of Default as specified in Clause 8, entitling the Lender to exercise its rights and remedies under this Agreement.

11. Arbitration and Dispute Resolution

11.1 Amicable Settlement:

Any dispute, controversy, or claim arising out of or in connection with this Agreement, including its interpretation, performance, termination, or validity, shall first be attempted to be resolved amicably by the Parties through mutual discussions and negotiations. Either Party may initiate this process by issuing a written notice to the other Party specifying the nature of the dispute. The Parties shall, within fifteen (15) business days of such notice, enter into good-faith discussions to resolve the dispute.

11.2 Arbitration:

If the dispute is not resolved through negotiations within thirty (30) days from the date of initiation of such discussions, it shall be finally settled by arbitration in accordance with the provisions of the Arbitration and Conciliation Act, 1996, including any statutory modifications or re-enactments thereof. The arbitration shall be conducted as follows:

- (a) The dispute shall be referred to a sole arbitrator, who shall be appointed by the Lender.
- (b) The seat and venue of arbitration shall be Shimla, Himachal Pradesh.
- (c) The arbitration proceedings shall be conducted in the English language.
- (d) The award rendered by the arbitrator shall be final, binding, and enforceable upon the Parties and may be executed in any court of competent jurisdiction.

11.3 Costs of Arbitration:

Each Party shall bear its own costs of arbitration, including legal fees, unless otherwise determined by the arbitrator in the final award.

11.4 Interim Relief:

Notwithstanding the provisions of this clause, the Lender shall have the right to seek interim relief, including but not limited to injunctive or other equitable remedies, from any court of competent jurisdiction to protect its rights under this Agreement or to secure the payment of any outstanding amounts due from the Borrower.

11.5 Jurisdiction:

Subject to arbitration, the courts at Shimla, Himachal Pradesh, shall have exclusive jurisdiction over any disputes arising out of or in connection with this Agreement.

11.6 Survival:

The provisions of this clause shall survive the termination or expiration of this Agreement and shall remain binding on the Parties.

12. Governing Law and Jurisdiction

12.1 Governing Law:

This Agreement shall be governed by and construed in accordance with the laws of India, including but not limited to:

- (a) The Indian Contract Act, 1872, and other laws governing contractual obligations;
- (b) The Banking Regulation Act, 1949, and other applicable banking laws;
- (c) The Insolvency and Bankruptcy Code, 2016, and laws governing financial distress and recovery;
- (d) The SARFAESI Act, 2002, and other laws relating to secured transactions and enforcement of security interests; and
- (e) The Companies Act, 2013, and other laws regulating corporate entities and financial transactions.

12.2 Jurisdiction:

- (a) Subject to Clause 11 (Arbitration and Dispute Resolution), the courts at Shimla, Himachal Pradesh, shall have exclusive jurisdiction over any dispute, claim, or legal proceeding arising

from or related to this Agreement.

(b) Any action, suit, or proceeding shall be brought only before the competent courts at Shimla, except where interim relief is sought under applicable arbitration laws.

12.3 Compliance with Laws:

(a) Each Party shall comply with all applicable laws, rules, and regulations issued by the Reserve Bank of India (RBI), Ministry of Corporate Affairs (MCA), and other relevant authorities.

(b) The Borrower warrants that all obligations under this Agreement shall be performed in compliance with regulatory requirements and guidelines governing financial transactions.

13. Indemnity

13.1 Scope of Indemnity:

The Borrower shall indemnify, defend, and hold the Lender, its directors, officers, employees, and agents harmless from and against any and all losses, claims, damages, liabilities, costs, and expenses (including reasonable legal fees and expenses) arising directly or indirectly from:

(a) The misuse, misappropriation, or diversion of the Loan proceeds for any purpose other than those expressly stated in this Agreement;

(b) Any breach, misrepresentation, or non-compliance with the terms, conditions, representations, or warranties contained herein;

(c) Any claims, demands, or proceedings initiated by third parties, including suppliers, contractors, or employees, arising out of or in connection with the Borrower's business operations or financial obligations;

(d) Any enforcement action taken by the Lender to recover outstanding dues, realize security interests, or exercise rights under this Agreement; and

(e) Any fines, penalties, or liabilities imposed on the Lender due to the Borrower's failure to comply with applicable laws, regulations, or governmental directives.

13.2 Indemnity Process:

(a) The Lender shall provide the Borrower with prompt written notice of any claim or liability that may give rise to an indemnity obligation under this Clause;

(b) The Borrower shall, at its own expense, cooperate fully with the Lender in defending or

resolving such claims, including furnishing all relevant documents, records, and assistance as required; and

(c) The Lender shall have the right, but not the obligation, to assume control over the defense or settlement of any claim if the Borrower fails to take necessary action within a reasonable period.

13.3 Survival of Indemnity:

The obligations of the Borrower under this Clause shall survive the repayment of the Loan, termination, or expiration of this Agreement, and shall remain binding on the Borrower's successors and assigns.

14. Termination

14.1 Termination by the Lender:

The Lender shall have the right to terminate this Agreement immediately or upon providing written notice to the Borrower under the following circumstances:

- (a) Failure of the Borrower to make any payment due under this Agreement on or before the specified due date;
- (b) Breach, misrepresentation, or non-compliance with any term, condition, representation, or warranty contained in this Agreement;
- (c) Occurrence of any Event of Default as specified under Clause 8 of this Agreement;
- (d) Any material adverse change in the Borrower's financial condition, business operations, or creditworthiness, which, in the Lender's opinion, affects the Borrower's ability to meet its obligations;
- (e) Initiation of insolvency, bankruptcy, liquidation, or winding-up proceedings against the Borrower; or
- (f) Any regulatory, judicial, or governmental action that, in the Lender's sole discretion, materially affects the enforceability or performance of this Agreement.

14.2 Effect of Termination:

(a) Upon termination, all amounts due under this Agreement, including principal, accrued interest, penalties, fees, and other charges, shall become immediately payable by the Borrower;

- (b) The Lender shall have the right to enforce any security interest in the Hypothecated Assets and invoke the Personal Guarantee furnished by the Borrower or its representatives;
- (c) Any costs, charges, or expenses incurred by the Lender in enforcing its rights upon termination shall be borne by the Borrower; and
- (d) Termination shall not affect any rights or remedies accrued by the Lender before the termination date, nor shall it impact the Borrower's indemnity obligations under Clause 13 or any other surviving provisions.

14.3 Notice of Termination:

The Lender shall provide the Borrower with written notice specifying the grounds for termination and the effective date. However, in cases of severe default, fraud, or urgent circumstances, the Lender may terminate this Agreement immediately without prior notice.

14.4 Survival of Obligations:

Notwithstanding termination, all obligations of the Borrower concerning repayment, indemnity, confidentiality, and any other provisions expressly stated to survive termination shall remain in full force and effect.

15. Miscellaneous:

(a) Entire Agreement: This Agreement, along with its Schedules and any ancillary documents, constitutes the entire understanding between the Parties concerning the subject matter hereof and supersedes all prior negotiations, agreements, and understandings, whether written or oral.

(b) Amendments: No modification or amendment to this Agreement shall be valid unless made in writing and signed by both Parties.

(c) Waiver: The failure of the Lender to enforce any term or condition of this Agreement at any time shall not be construed as a waiver of its rights to enforce the same or any other term or condition of this Agreement at any later time.

(d) Severability: If any provision of this Agreement is held to be invalid or unenforceable under applicable law, such provision shall be ineffective only to the extent of such invalidity or unenforceability, without affecting the remaining provisions of this Agreement.

(e) Notices: All notices, demands, or other communications required or permitted to be given or made under this Agreement shall be in writing and sent to the respective addresses of the Parties as specified in the Schedule or such other address as may be notified in writing. (i) Notices to the Lender shall be sent to its registered office address. (ii) Notices to the Borrower shall be sent to its principal place of business or registered office.

(f) Assignment: The Borrower shall not assign or transfer its rights or obligations under this Agreement without the prior written consent of the Lender. The Lender may assign or transfer its rights, benefits, and obligations under this Agreement to any third party without the Borrower's consent.

(g) Counterparts: This Agreement may be executed in counterparts, each of which shall be deemed an original, but all of which together shall constitute one and the same instrument.

(h) Costs and Expenses: The Borrower shall bear all costs, charges, and expenses incurred in connection with the preparation, execution, and enforcement of this Agreement, including but not limited to stamp duty, registration charges, and legal fees.

16. Documentation and Signatures:

This Agreement shall be executed in duplicate, and each Party shall retain one copy. Both Parties shall affix their respective company seals and sign in the presence of witnesses.

LEGAL SPECS

Lawyers in Making.

IN WITNESS WHEREOF, the parties hereto have set their hands and seals on the day and year first above written.

Signed and Delivered By:

For XYZ Bank Ltd.,
Ltd.,
(Lender)

Authorized Signatory

For ABC Textiles Pvt.
(Borrower)

Authorized Signatory



Witnesses:

1. Raman Verma

2. Naman Singh

LEGAL SPECS

Lawyers in Making.